CORPORATE POLICY REVIEW REPORT

Banking Customer Protection Policy — Aditya Birla Capital Ltd.

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ACTIVITY TITLE: CORPORATE POLICY REVIEW REPORT

ORGANIZATION/COMPANY REVIEWED: ADITYA BIRLA CAPITAL LTD. (ABCL)

POLICY NAME: BANKING CUSTOMER PROTECTION POLICY

1. INTRODUCTION

1.1 About the Organization

Aditya Birla Capital Limited (ABCL) is a listed, systemically important, Upper Layer Non-Deposit taking Non-Banking Financial Company (NBFC-ICC) and the holding company for the financial services businesses of the Aditya Birla Group. ABCL and its subsidiaries and joint ventures, including Aditya Birla Finance Limited, Aditya Birla Housing Finance Limited, and Aditya Birla Capital Digital Limited (ABCDL), offer a comprehensive suite of financial solutions across loans, investments, insurance, and payments, serving customers through more than 66,500 employees and a nationwide network of branches, digital lending apps, and agent/channel partners.

1.2 Introduction to the Selected Policy

The policy selected for this review is ABCL's Banking Customer Protection Policy, examined here through its Fair Practices Code and Grievance Redressal Mechanism (applicable across its lending businesses) together with the Customer Protection and Grievance Redressal Policy adopted by Aditya Birla Capital Digital Limited for its Prepaid Payment Instrument (PPI) business. Collectively, these documents set out how ABCL protects customer rights, discloses information fairly, handles unauthorized transactions, and resolves customer complaints across its regulated lending and payments businesses.

1.3 Purpose of the Review

The purpose of this review is to understand the scope, objectives, and key provisions of ABCL's customer protection framework, particularly its approach to customer rights, transparency, grievance redressal, and liability in cases of unauthorized transactions, and to examine how it aligns with RBI's banking and NBFC regulations. Given that ABCL handles credit, deposits-adjacent products, and digital payments for a very large customer base, this review also evaluates how effectively the policy protects customers while supporting the company's regulatory compliance obligations.

2. POLICY OVERVIEW

2.1 Name and Nature of the Policy

The policy under review comprises ABCL's Fair Practices Code, its Grievance Redressal Mechanism/Escalation Matrix, and ABCDL's board-approved Customer Protection and Grievance Redressal Policy for PPI products. Together, these form a customer protection and service-quality governance framework, rather than a single standalone document, reflecting the fact that ABCL operates across multiple regulated financial products, each carrying its own specific RBI-mandated customer protection requirements.

2.2 Scope of the Policy

The Fair Practices Code and grievance mechanisms apply to all retail and institutional customers of ABCL's lending entities, including borrowers under personal loans, business loans, loans against property, and housing finance products. The PPI-specific Customer Protection and Grievance Redressal Policy applies specifically to customers using ABCDL's prepaid payment instruments and digital wallet products, in accordance with the RBI's Master Directions on Prepaid Payment Instruments (PPI Master Directions), which mandate that every PPI issuer maintain and publicly disclose such a policy.

2.3 Employees and Stakeholders Covered

- Retail and institutional borrowers across ABCL's loan and housing finance businesses
- Customers using ABCDL's prepaid payment instruments, digital wallets, and UPI-linked payment products
- Frontline customer service staff, branch officials, and designated Complaints Redressal Officers
- Designated Nodal Officers and Principal Nodal Officers (PNO) responsible for escalated grievances
- Regulatory stakeholders, including the Reserve Bank of India (RBI), to whom unresolved complaints may ultimately be escalated

2.4 Key Objectives of the Policy

- To ensure customers are treated fairly, transparently, and without discrimination across all touchpoints
- To provide customers with clear, accessible channels to raise complaints and track their resolution
- To define time-bound escalation levels so unresolved grievances do not remain indefinitely pending
- To protect customers from financial loss arising from unauthorized transactions that are not their fault
- To comply with RBI's regulatory requirements for NBFCs and Prepaid Payment Instrument issuers

3. KEY PROVISIONS OF THE POLICY

3.1 Customer Rights

Customers are entitled to fair and transparent treatment throughout their relationship with ABCL, including clear communication of loan terms, interest rates, and charges, access to their account and transaction information, and the right to raise concerns without facing retaliation or degraded service. Under the PPI Master Directions, customers are additionally entitled to protections specific to digital payment products, including timely resolution of failed transactions and compensation in line with RBI's prescribed turnaround time (TAT) norms.

3.2 Transparency and Disclosure

ABCL's Fair Practices Code requires clear disclosure of loan terms and conditions, interest rates, and applicable fees at the time of sanction, so that customers can make informed borrowing decisions. ABCDL is required under the PPI Master Directions to publicly disclose its board-approved Customer Protection and Grievance Redressal Policy, ensuring that customers can review, in advance, exactly how their complaints and unauthorized transactions will be handled before they choose to use the product.

3.3 Unauthorized Transactions

In line with RBI's regulatory framework on Limiting Liability of Customers in Unauthorised Electronic Banking and Payment Transactions, customers who are not at fault, for example where a transaction results from contributory fraud, negligence, or deficiency on the part of the institution, or from a third-party breach reported within three working days of notification, bear zero liability for the unauthorized transaction. Where a customer delays reporting by four to seven working days, liability is limited to the transaction value or a specified capped amount, whichever is lower; delays beyond seven working days are governed by the institution's own board-approved policy. Once notified, the institution is required to credit the disputed amount back to the customer's account within 10 working days, without waiting for any related insurance claim to be settled.

3.4 Grievance Redressal and Complaint Escalation

ABCL operates a structured, multi-level grievance escalation matrix. At Level 1, customers can raise concerns through customer care, the toll-free helpline, or their branch. If unresolved or unsatisfactory, the complaint proceeds to Level 2, where it is handled by a named Complaints Redressal Officer. If the customer remains dissatisfied, the matter can be escalated to Level 3, the Head of the Complaint Redressal Cell, and finally, before approaching the Principal Nodal Officer (PNO), the customer must have already filed a complaint through the standard channel, with escalation permitted only if no resolution is received within 15 days or the resolution is unsatisfactory. If a complaint or dispute remains unresolved within one month, customers may further appeal to the RBI's Regional Office of the Department of Non-Banking Supervision, or lodge a complaint through the RBI's Complaint Management System (CMS) portal or the SACHET portal for fraud-related grievances.

4. COMPLIANCE AND GOVERNANCE ANALYSIS

4.1 Relevant Laws, Regulations, and Standards

- RBI Master Directions on Prepaid Payment Instruments (PPI Master Directions), mandating a board-approved Customer Protection and Grievance Redressal Policy for PPI issuers

- RBI Circular on "Customer Protection – Limiting Liability of Customers in Unauthorised Electronic Banking Transactions" (2017), and its 2019 extension to non-bank PPI issuers
- RBI's "Harmonisation of Turn Around Time (TAT) and Customer Compensation for Failed Transactions using Authorised Payment Systems" framework
- RBI's Fair Practices Code guidelines applicable to NBFCs, governing loan disclosure, recovery practices, and grievance redressal
- RBI's Integrated Ombudsman Scheme, providing customers a final regulatory recourse for unresolved grievances

4.2 How the Policy Supports Legal and Regulatory Compliance

By publicly disclosing its board-approved Customer Protection and Grievance Redressal Policy, ABCDL directly satisfies the PPI Master Directions' transparency mandate. The zero-liability and limited-liability framework for unauthorized transactions, together with the 10-working-day credit reversal timeline, operationalizes RBI's customer protection circular into concrete, enforceable commitments. The tiered escalation matrix, culminating in access to the RBI's Ombudsman Scheme and CMS/SACHET portals, ensures customers always retain an independent regulatory route if ABCL's internal mechanisms fail to resolve their concern, which is central to RBI's expectations for NBFC grievance redressal.

4.3 Governance Mechanisms Associated with the Policy

Governance is anchored around clearly named roles: a Complaints Redressal Officer at Level 2 (for example, a designated officer with published name, phone number, and email), a Head of the Complaint Redressal Cell at Level 3, and a Principal Nodal Officer for final internal escalation. ABCDL's PPI policy additionally requires a designated Nodal Officer specifically responsible for handling PPI-related customer complaints, as mandated by RBI. This layered structure, combined with defined response timelines at each level, creates institutional accountability rather than leaving grievance handling informal or ad hoc.

5. POLICY EVALUATION

5.1 Strengths of the Policy

- A clearly defined, multi-level escalation matrix (Level 1 to PNO) with named officers and published contact details, giving customers a concrete, followable path rather than a vague promise of "support"
- Alignment with RBI's zero-liability and limited-liability framework for unauthorized transactions, offering meaningful financial protection to customers who report fraud promptly
- A defined 10-working-day timeline for crediting disputed amounts back to customers, providing a concrete, measurable service standard
- Separate, product-specific grievance policies (Fair Practices Code for lending, dedicated PPI policy for digital payments), reflecting the different regulatory obligations attached to each product line

5.2 Effectiveness and Practicality of Implementation

The escalation matrix's requirement that a customer must first file a complaint through the standard channel before reaching the Principal Nodal Officer creates a practical, orderly process that avoids overwhelming senior escalation points with first-instance queries, while still guaranteeing access to senior escalation within a defined 15-day window if the issue is not resolved. The explicit reference to RBI's CMS and SACHET portals as a final layer of escalation shows that ABCL's internal mechanism is designed to interlock with, rather than replace, the external regulatory grievance ecosystem.

5.3 Gaps, Limitations, and Areas for Improvement

- Publicly available documentation of the escalation matrix and response timelines is spread across multiple separate PDFs and web pages for different ABCL entities (lending, housing finance, PPI/digital), which can make it difficult for an ordinary customer to locate the specific policy relevant to their product

- There is limited publicly available data on actual complaint volumes, resolution rates, or average turnaround times, which limits independent verification of how well the policy performs in practice

- The precise rupee caps applicable to the "limited liability" tier for delayed reporting of unauthorized transactions are not consistently and clearly restated in ABCL's own customer-facing materials, requiring customers to cross-reference RBI's underlying circular

5.4 Comparison with Good Corporate Practice

ABCL's layered escalation structure and named Complaints Redressal Officers are broadly consistent with RBI's expectations for NBFC grievance redressal and compare well with practices at other large financial institutions. However, several leading banks and NBFCs go further by publishing consolidated, single-page grievance redressal policies covering all products together, along with periodic public disclosure of complaint statistics (such as complaints received, resolved, and pending) in their annual reports, an area of transparency where ABCL's current public documentation could be strengthened.

6. BUSINESS RELEVANCE

6.1 Importance in Modern Business

For a large financial services conglomerate offering loans, insurance, investments, and digital payments to a broad and diverse customer base, a strong customer protection and grievance redressal framework is essential to sustaining trust, especially as customers increasingly transact through digital and app-based channels where the risk of unauthorized transactions and technical failures is inherently higher than in traditional, in-branch banking.

6.2 Impact on Employees, Customers, and Stakeholders

- Customers: Gain financial protection against fraud and unauthorized transactions, along with a clear, time-bound path to resolve complaints rather than facing indefinite delays

- Employees: Frontline and grievance-handling staff operate within clearly defined roles and response timelines, reducing ambiguity in how customer complaints should be handled at each stage

- Regulators and Stakeholders: A well-documented, RBI-aligned grievance framework reduces regulatory risk and supports ABCL's standing as a systemically important NBFC operating multiple RBI-regulated business lines

6.3 Contribution to Risk Management, Ethics, Compliance, and Governance

The policy functions as a direct risk management tool, limiting ABCL's exposure to regulatory penalties and reputational damage arising from mishandled customer complaints or disputed unauthorized transactions. Its alignment with RBI's zero-liability and TAT compensation frameworks embeds ethical, customer-first practices directly into day-to-day operations, while its layered governance structure (Nodal Officers, Complaints Redressal Officers, PNO) strengthens ABCL's overall corporate governance and regulatory compliance posture.

7. RECOMMENDATIONS

- Consolidate the Fair Practices Code, grievance escalation matrix, and PPI-specific customer protection policy into a single, easy-to-navigate customer protection hub on ABCL's website, so customers do not need to search across multiple entity-specific PDFs

- Publish annual, anonymized statistics on complaint volumes, resolution timelines, and outcomes, similar to the disclosures expected in modern corporate governance reporting, to build customer and regulatory trust

- Clearly restate the specific rupee thresholds for "limited liability" in unauthorized transaction cases directly within ABCL's own customer-facing policy documents, rather than requiring customers to refer back to RBI's original circular

- Introduce proactive customer education initiatives, such as short in-app or SMS alerts, explaining the zero-liability and limited-liability protections available and how quickly customers must report unauthorized transactions to qualify

- Strengthen internal monitoring by having the Board or a designated committee periodically review escalation-matrix performance data, similar to the Policy Holder Protection Committee model used by ABCL's insurance entities

8. CONCLUSION

8.1 Overall Assessment and Key Learnings

ABCL's Banking Customer Protection framework, built around its Fair Practices Code, a clearly tiered grievance escalation matrix, and ABCDL's RBI-mandated PPI Customer Protection Policy, provides a reasonably robust structure for protecting customer rights, ensuring transparency, and limiting customer liability for unauthorized transactions. This review shows that effective customer protection in a large financial conglomerate depends on clearly named accountable officers, defined response timelines, and a direct link to external regulatory recourse, all of which are present in ABCL's framework, even as consolidated public disclosure and complaint-outcome transparency remain areas for improvement.

More broadly, this review highlights that in a financial services environment increasingly shaped by digital payments and instant transactions, customer protection policies must move beyond general promises of fair treatment toward specific, time-bound, and financially meaningful commitments, such as zero-liability protection and guaranteed credit-reversal timelines, that customers can actually rely upon when something goes wrong.

9. REFERENCES

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